

BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.

China United Lines, Ltd,	X	
	:	
	:	FMC Docket No. 25-04
	:	
Complainant,:	:	
	:	
vs.	:	
	:	
Amazon.com Services LLC; Amazon Logistics	:	
Inc.; and Beijing Century Joyo Courier Service	:	
Co., Ltd.	:	
	:	
	:	
Respondents,:	:	
	X	

COMPLAINANT’S RESPONSE TO RESPONDENTS’ UNSOLICITED

SUPPLEMENT TO JOINT STATUS REPORT

On an unsolicited basis, Respondents filed their supplement to the joint status report with the Presiding Officer, on April 29, 2026 (“Unsolicited Update”). Frankly, Complainant does not understand why Respondents filed their Unsolicited Update or what purpose it serves. Indeed, on March 16, 2026, the Parties to this case provided the Presiding Officer with their competing positions on how this litigation should proceed (Docket Number 70). There is nothing in Amazon’s Unsolicited Update which changes those positions submitted on March 16, 2026. If anything, the now-completed expert discovery emphasizes the importance of not allowing bad-actors in the marketplace, such as Amazon, to undermine the predictability and stability of ocean shipping rates by being able to use deceit to wrongfully cancel long term service contracts. In addition, this is a David v. Goliath case, where the FMC’s role is more important and crucial than ever.

Even before Complainant receives hoped-for favorable rulings on its pending motions to compel in this matter, compelling Amazon to produce basic relevant information, discovery has demonstrated that Amazon received the benefits of its relationship with Complainant, which

included faster service than other carriers, reliability in terms of cargo delivered safely and on time, concierge service, and rates that at points of the relationship were lower than prevailing market rates. These benefits were provided by Complainant to Amazon on the express condition that if Amazon elected to terminate the service contract early, Amazon would pay liquidated damages. These liquidated damages enabled Complainant to invest in its service for Amazon and set the rates that it did for Amazon. Because Amazon refused and still refuses to pay the liquidated damages, under a ridiculous breach of confidentiality argument (which it has now shifted to calling a “publicity” argument), Amazon received the benefits of the service contract without having to pay for them. That is inherently wrong.

Discovery has also unveiled the deceit perpetrated by Amazon: We now know that Amazon was well aware of the use of the Amazon name by Complainant, as early as (if not before) October 2022, and decided to do nothing about it. Amazon elected to keep this use of its name in its back pocket until it deemed Complainant’s rates and liquidated damages no longer favorable. As late as May 2023, when Amazon representatives were meeting with Complainant in Shanghai to request that Complainant lower the agreed-upon liquidated damages, Amazon was (behind the scenes) exploring how to use the use of its name to its advantage. Critically, the Presiding Officer will hear Amazon’s admission, that, if CUL had lowered its rates or lowered the agreed-upon liquidated damages under the service contract, Amazon would not have terminated the service contract for cause. Further, Amazon will have a difficult time explaining to the Presiding Officer why another ocean carrier (ZIM) used the Amazon name, without consequence to its contract with Amazon.

Amazon never once told Complainant that it took the view that a single use of its name without its permission would mean that the service contract would be terminated for cause (which is precisely what it told Complainant when it terminated the service contract for cause), and it hid this interpretation by doing nothing in the face of Complainant’s open and obvious uses of the Amazon name. What other information Amazon may be hiding will only be revealed by decisions on the pending motions to compel filed by Complainant. And to be clear, no single document has yet set forth each and every piece of Amazon’s deceitful conduct, which will be presented after

additional discovery is complete and the Presiding Officer requests such a recitation (such as in Complainant's Initial Brief).

It is strange that Amazon says, in its Unsolicited Update, that "the expert discovery has confirmed additional grounds on which summary disposition is appropriate". It is an odd statement because, in summary, Amazon's expert's opinion can largely be boiled down to these points: (1) The re-rating calculation leads to a very large number, (2) the re-rating is based upon a rate (the tariff) which no reasonable customer would pay an ocean carrier, and (3) re-rating is seldom applied in the maritime industry. Despite these immaterial opinions, the undisputed testimony from the expert depositions established that (1) there is no rule saying that re-rating is barred if the calculation of re-rating leads to a large number, (2) there is no rule barring re-rating when the opposing party establishes that the tariff rate is a rate no customer would have paid, and (3) the re-rating statute is good law which has not been (and should not be) repealed. Amazon's expert further admitted to not even running a re-rating calculation, which makes one wonder why he was even retained. It was also established during discovery, beyond doubt, that the remaining claim by CUL, Count I, explicitly seeks re-rating under 46 C.F.R. § 530.10(e)(2)(ii) as a remedy.

In light of the above, Complainant respectfully requests that the Presiding Officer disregard Amazon's Unsolicited Update, and rule upon Docket Number 42 ("Complainant China United Lines, LTD.'s Motion for Order Instructing Amazon to Remove "Attorneys' Eyes Only" Designations"), Docket Number 48 ("Complainant China United Lines, Ltd.'s Motion for Protective Order Precluding Respondent Amazon.com Services LLC's January 6, 2026 Rule 143(b)(6) Notice of Videotaped Deposition on Topic No. 4"), Docket Number 56 ("Complainant China United Lines, Ltd.'s Motion to Compel Corporate Testimony from Respondents), Docket Number 61 ("Complainant China United Lines, Ltd.'s Motion to Compel Further Responses from Respondent Amazon.com Services LLC Regarding Requests for Production of Documents Nos. 48-51"), and Docket Number 63 ("Complainant China United Lines Ltd.'s Motion to Produce Documents Improperly Withheld as Privileged"). Thereafter, Complainant respectfully suggests

that the Presiding Officer should rule upon the proper schedule moving forward in this complex matter.

DATED: May 6, 2026

BMC//LAW

By:

A handwritten signature in blue ink, appearing to read 'BMC', is positioned above a horizontal line.

Bryce M. Cullinane, Esq. CASB No. 307079

bryce@bmc.law

David P. Collins, Esq. CASB No. 356864

david@bmc.law

8885 Research Drive, Suite 150

Irvine, CA 92618

*Attorneys for Complainant,
China United Lines, Ltd.*

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 6th day of May 2026, a true and correct copy of the foregoing **COMPLAINANT'S RESPONSE TO RESPONDENTS' UNSOLICITED SUPPLEMENT TO JOINT STATUS REPORT** was served via electronic mail on:

Michael F. Scanlon
John Longstreth
Christiana K. Goff
K&L GATES LLP
1601 K Street, N.W.
Washington, DC 20006
(202) 778-9000 (202) 778-9100 (fax)
michael.scanlon@klgates.com
john.longstreth@klgates.com
christi.goff@klgates.com



Ileen Osorio